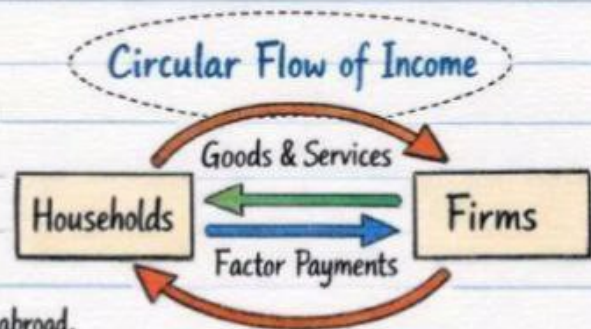


National Income Accounting - Full Revision (Macroeconomics Unit 1)

National Income Accounting studies the measurement of aggregate economic activity of a country during a year. It helps in understanding growth, standard of living, sectoral contribution, policy making, and international comparison.

Basic Concepts:

- **Factor Income:** Income earned by factors of production (rent, wages, interest, profit).
- **Transfer Income:** Income received without rendering productive services (pension, scholarship).
- **Economic Territory:** Domestic territory, ships & embassies abroad.
- **Normal Resident:** A person residing in a country for one year or more.



Stock vs Flow:

- **Stock:** Measured at a point of time (capital, wealth).
- **Flow:** Measured over a period of time (income, expenditure).

Value Added Method:

- Value added = Value of Output - Intermediate Consumption.
- $GDP = \sum \text{Value Added of all producing units.}$

Income Method:

- $GDP = \text{Wages} + \text{Rent} + \text{Interest} + \text{Profit} + \text{Mixed Income} + \text{Depreciation} + \text{Net Indirect Taxes.}$

Expenditure Method:

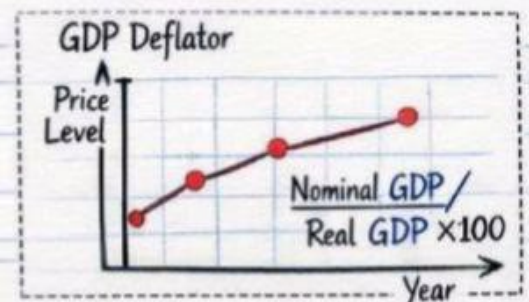
- $GDP = C + G + I + (X - M)$

Expenditure Method:

- $GDP = C + G + I + (X - M)$

Key Aggregates:

- **GDP at MP:** Value of final goods & services within domestic territory.
- **GDP at FC:** GDP at MP - Net Indirect Taxes.
- **GNP at MP:** GDP at MP + NFIA.
- **GNP at FC (National Income):** GNP at MP - Net Indirect Taxes.
- **NNP:** GNP - Depreciation.
- **Personal Income:** National Income - Undistributed Profits - Corp. Tax + Transfer Payments.
- **Disposable Income:** Personal Income - Personal Taxes.



Nominal vs Real GDP:

- **Nominal GDP:** Current Prices.
- **Real GDP:** Constant Prices.

Precautions:

- Avoid double counting.
- Include only final goods.
- Include factor incomes only.
- Exclude transfer incomes.

Money and Banking - Full Revision

(Macroeconomics Unit 2)

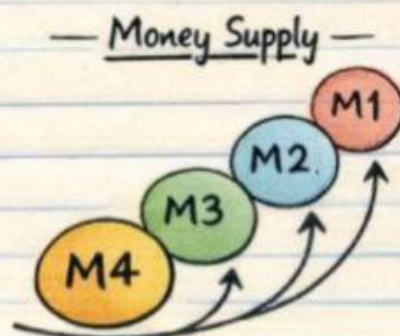
Money and Banking explains the meaning, functions, and regulation of money in an economy and the role of the central bank in controlling credit and ensuring financial stability.

Money:

- Money is anything that is generally accepted as a medium of exchange, measure of value, store of value, and standard of deferred payments.

Functions of Money:

- 1 Medium of Exchange: Facilitates buying & selling.
- 2 Measure of Value: Expresses value of goods in monetary terms.
- 3 Store of Value: Wealth can be stored for future use.
- 4 Standard of Deferred Payments: Enables repayment of loans.

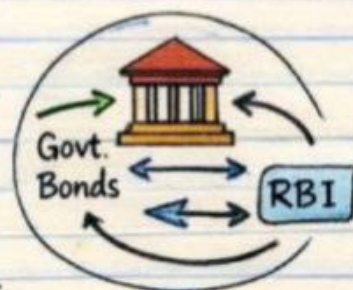


Types of Money:

- Legal Tender Money: Coins & Currency Notes.
- Fiat Money: Paper currency issued by Central Bank,
- Bank Money: Demand deposits (Cheques, Digital Balances).

Money Supply: Total stock of money in circulation.

- M1 = Currency with Public + Demand Deposits + Other Deposits with RBI.
- M2 = M1 + Savings Deposits with Post Offices.
- M3 = M1 + Time Deposits with Banks (Most Important).
- M4 = M3 + Total Post Office Deposits.



Commercial Banks: Accept deposits, give loans, create credit.

Credit Creation by Banks:

- Lending excess reserves over CRR.

Central Bank (Reserve Bank of India):

- ✓ Apex Monetary Authority, Controller of Credit.



Quantitative Credit Control Methods:

- ✓ Bank Rate
- ✓ Repo Rate
- ✓ Reverse Repo Rate
- ✓ Open Market Operations

Role of RBI:

- ✓ Price Stability & Control of Inflation.
- ✓ Ensures Liquidity & Economic Growth.

Determination of Income and Employment - Full Revision

(Unit 3)

This chapter explains how the level of national income and employment is determined in an economy based on aggregate demand and aggregate supply, according to Keynesian theory.

Aggregate Demand (AD)

- Aggregate Demand refers to the total demand for goods and services in an economy at a given level of income.

$$AD = C + I$$

Where:

- C (Consumption) depends on income.
- I (investment) is assumed to be autonomous (constant).

Consumption Function

- Consumption function shows the relationship between income and consumption.

$$C = a + bY$$

Where: a = Autonomous consumption

b = Marginal Propensity to Consume (MPC)

Y = Income.

Aggregate Supply (AS)

- Aggregate Supply refers to total output produced in an economy.

In the short run, $AS =$
National Income (Y).

Aggregate Supply (AS)

$$k = \frac{1}{1-MPC}$$

Equilibrium Level of Income

- Equilibrium is achieved when:

$$AD = AS$$

or

$$C + I = Y$$

$$k = \frac{1}{MPS}$$

At equilibrium, planned spending equals actual output.

Excess Demand and Deficient Demand

- Excess Demand: $AD > AS \rightarrow$ Inflationary gap
- Deficient Demand: $AD < AS \rightarrow$ Deflationary gap.

Effective Demand is the level of AD at equilibrium, which determines actual income and employment.

Consumption Function

- Consumption function shows the relationship between income and consumption.

$$C = a + bY$$

Where: a = Autonomous consumption

b = Marginal Propensity to Consume

Y = Income

Saving Function

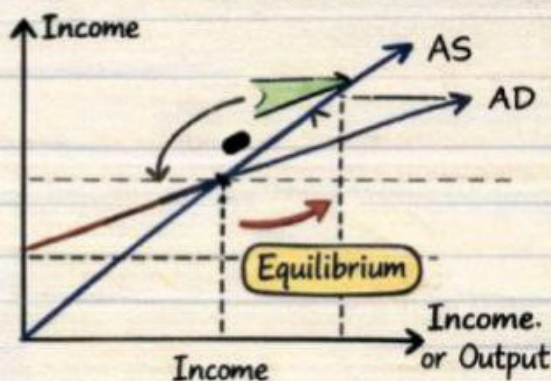
$$S = Y - C$$

Saving function: $S = a + (1-b)Y$

$$MPS = \frac{\Delta S}{\Delta Y}$$

$$\text{Multiplier } (k) = \frac{1}{1-MPC} \text{ or } \frac{1}{MPS}$$

- Higher MPC $\rightarrow$ Higher multiplier
 $\rightarrow$ Greater income generation.



- Excess Demand: $AD > AS \rightarrow$ Inflationary
- Deficient Demand: $AD < AS \rightarrow$ Deflationary gap
- Government corrects these using fiscal policy (taxes and government spending).

Government Budget – Full Revision (Unit 4)

Meaning of Government Budget

A government budget is an annual statement showing estimated receipts (income) and estimated expenditures (spending) of the government for a financial year.

Objectives of Government Budget

- Allocation of Resources – Providing public goods like roads, schools, defence.
- Redistribution of Income – Reducing inequality through taxes and subsidies.
- Economic Stability – Controlling inflation and deflation.
- Economic Growth – Promoting development through public investment.
- Management of Public Enterprises – Improving efficiency.

Components of Government Budget

A. Budget Receipts

1. Revenue Receipts:

- Tax Revenue:
 - Direct taxes (Income tax), Corporate tax)
 - Indirect taxes (GST)

2. Capital Receipts:

- Receipts which either create a liability or reduce assets of the government.
- Borrowings (from RBI, public, foreign sources)
- Recovery of loans, given by government
- Disinvestment (sale of shares of public enterprises)



B. Budget Expenditure

1. Revenue Expenditure:

- Salaries
- Subsidies
- Interest payments

2. Capital Expenditure:

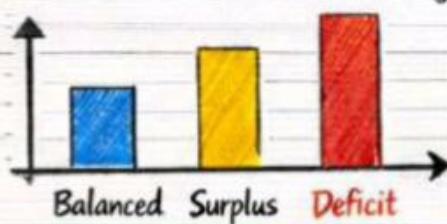
- Infrastructure
- Loan repayment
- Investment in projects

Budget Deficits

- Revenue Deficit = Revenue Expenditure – Revenue Receipts → Shows dissaving of government.
- Fiscal Deficit = Total Expenditure – Total Receipts (excluding borrowings)
- Primary Deficit = Fiscal Deficit – Interest Payments → Indicates total borrowing requirement.

Balanced, Surplus & Deficit Budget

- Balanced: Receipts = Expenditure
- Surplus: Receipts > Expenditure
- Deficit: Expenditure > Receipts



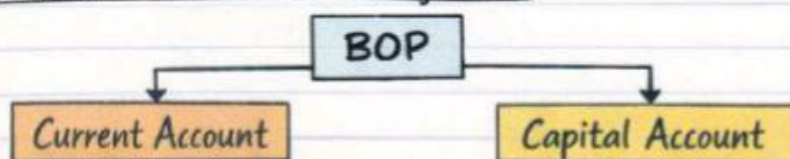
Conclusion

Government budget is a powerful tool for economic growth, stability, and social welfare.

Macroeconomics - Unit 5: Balance of Payments (Full Revision)

Balance of Payments (BOP) is a systematic record of all economic transactions between residents of a country and the rest of the world during a given period (usually one year). These transactions include goods, services, income, and financial claims.

— Structure of Balance of Payments —



1. Current Account

- **Merchandise (Visible) Trade:** Export and import of goods.
- **Services (Invisible Trade):** Banking, insurance, tourism, software services, transport, etc.
- **Primary Income:** Interest, profits, dividends.
- **Secondary Income (Unilateral Transfers):** Gifts, remittances, foreign aid, grants.

📌 Current Account Balance

- **Surplus:** Exports > Imports
- **Deficit:** Imports > Exports

2. Capital Account

- Borrowings and Lending
- Foreign Direct Investment (FDI)
- Foreign Portfolio Investment (FPI)
- Loans
- Changes in Foreign Exchange Reserves

Balance of Trade (BOT).

- Difference between exports and imports of goods.
- BOT is a part of the Current Account.

BOP Surplus and Deficit

- **BOP Surplus:** Receipts > Payments → foreign exchange reserves increase.
- **BOP Deficit:** Payments > Receipts → reserves decrease or borrowing required.

Disequilibrium in BOP

- Cyclical changes
- Secular (long-term) changes
- Structural changes
- Secular trends
- Random factors (wars, pandemics)

Measures to Correct BOP Deficit

- Export promotion
- Import substitution
- Devaluation of currency
- Foreign capital inflow
- Trade restrictions.

Autonomous vs Accommodating Transactions

- **Autonomous:** Independent of BOP position (trade, investment).
- **Accommodating:** Adjust BOP imbalance (changes in reserves).

🔑 **Key Point:** BOP always balances in accounting sense, but may show surplus or deficit economically.

Macroeconomics - Unit 5: Foreign Exchange (Full Revision)

Foreign Exchange refers to all currencies other than the domestic currency of a country. It is required for making international payments related to trade, services, investment, and transfers between countries.

→ Foreign Exchange Rate ←

The foreign exchange rate is the price of one currency in terms of another currency.

Example: ₹ 83 = 1 US Dollar.

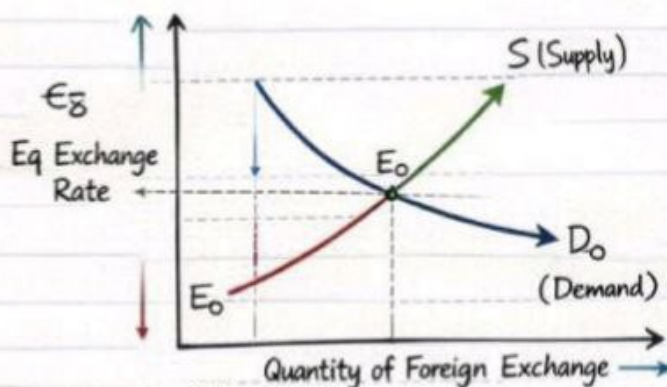
Demand for Foreign Exchange

Demand for foreign exchange arises due to:

- Import of goods and services
- Foreign travel and education
- Payment of interest, profits, dividends abroad
- Foreign investments
- Unilateral transfers (gifts, aid)

→ Law of Demand applies:

As foreign exchange rate rises, demand for foreign currency falls (inverse relationship)



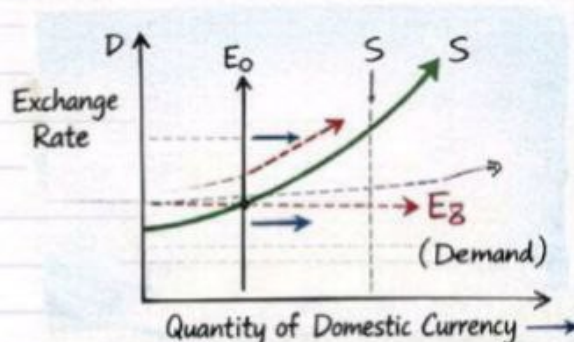
Supply of Foreign Exchange

Supply of foreign exchange comes from:

- Export of goods and services
- Foreign tourists
- Remittances from abroad
- Foreign investment inflows
- Foreign aid and grants

→ Supply Curve slopes upward:

Higher exchange rate → more supply of foreign exchange.



Determination of Exchange Rate

Under flexible exchange rate system, exchange rate is determined by demand and supply of foreign exchange:

Equilibrium exchange rate is where demand equals supply.

Appreciation and Revaluation

- Devaluation. Official reduction in value of domestic currency under fixed system.
- Revaluation: Official increase in value of domestic currency.

Types of Exchange Rate Systems

- Fixed Exchange Rate System
 - Exchange rate fixed by government/central bank.
 - Central bank intervenes to maintain rate.
- Flexible Exchange Rate System.
 - Exchange rate determined by market forces.
 - No direct government intervention.
- Managed Floating System.
 - Combination of fixed and flexible systems.
 - Central bank intervenes when needed.

Impact of Exchange Rate Changes

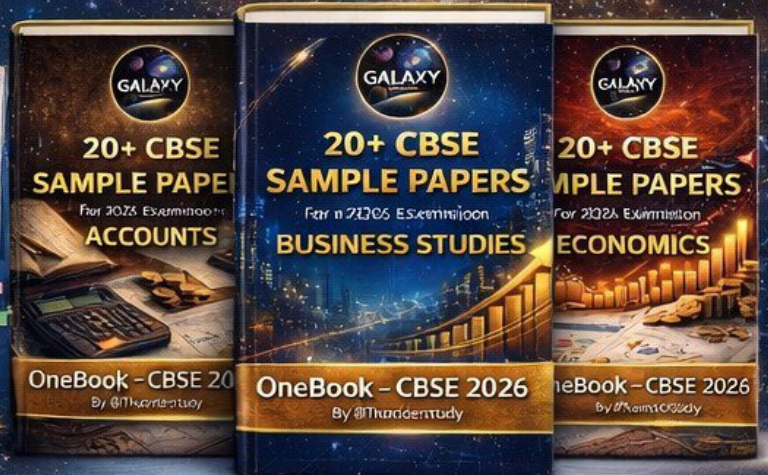
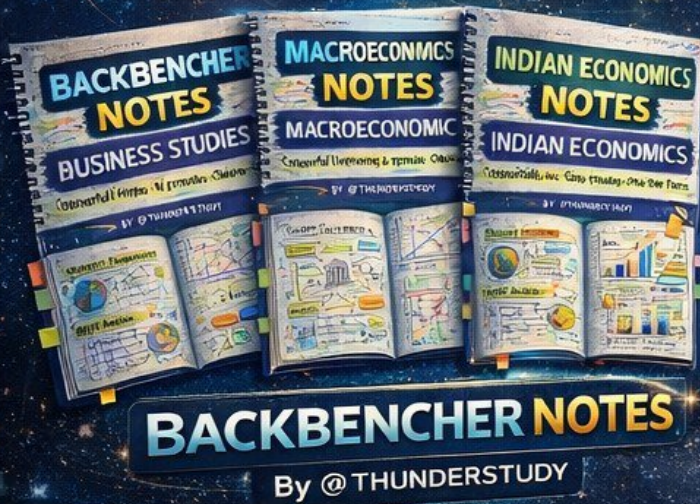
- Depreciation increases exports and reduces imports.
- Appreciation reduces exports and increases imports.

📌 Key Point:

Foreign exchange rate plays a crucial role in determining a country's trade balance and Balance of Payments.

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